Kansas (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published Sep 2026 data: Kansas Lottery sports-wagering & lottery reports (early/mid Oct 2026); KRGC casino revenue reports (c. 14–19 Oct 2026) · Currency USD (tables in $ millions unless stated; Kansas reports in USD so no FX conversion required)

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THE ONE-LINE VERDICT

September 2026 confirms Kansas as a small, mature, structurally low-yield regulated market: sportsbook handle fell for a third straight YoY reading (-5.9% to $267.0m) while a still-thin 4.58% hold lifted taxable net revenue 48.7% to $12.2m and the state's 10% cut to just $1.2m — under half a cent per dollar wagered. Land-based GGR grew 3.8% to $34.4m and lottery sales 6% to $46.5m on iLottery, but the real story is regulatory: the 2025 contract-renewal moratorium has lapsed, Boot Hill/DraftKings have already locked in to 2030, and the 2027 session is the last window for legislators who want a larger take before all remaining sportsbook contracts expire on 31 Aug 2027.

SPORTS HANDLE (SEP-26)	SPORTS NET REVENUE (TAXABLE)	STATE SHARE OF SPORTS REVENUE (10%)	CASINO GGR, 4 STATE-OWNED CASINOS	KANSAS LOTTERY SALES (SEP-26)	ONLINE SPORTSBOOK BRANDS LIVE
$267.0m	**$12.2m**	**$1.22m**	**$34.4m**	**$46.5m**	**7 of 12 skins**
-5.9% YoY; +64.7% MoM	+48.7% YoY (hold 4.58% vs 2.90%)	+48.7% YoY; 0.46% of handle	+3.8% YoY; -6.3% MoM; 9M-26 ~$325m	+6% YoY, led by iLottery	DK, FD, bet365, theScore, BetMGM, Caesars, Fanatics

1 EXECUTIVE SUMMARY

- **Three verticals, two regulators, one owner.** Kansas gaming is constitutionally 'owned and operated' by the Kansas Lottery under the Kansas Expanded Lottery Act (KELA, 2007) and SB 84 (2022), with the Kansas Racing and Gaming Commission (KRGC) as the regulator/enforcer for the four state-owned casinos, sports wagering, the Gilley's historical-horse-racing (HHR) hall and parimutuel racing. Four federally recognised tribes run compact casinos whose revenue is not published.
- **September 2026 sports handle $267.0m, -5.9% YoY** (Sep-25: $283.7m) — the third consecutive YoY decline, per the Kansas Lottery monthly report as relayed by Gaming Intelligence and RG.org. MoM the NFL restart lifted handle +64.7% from August's $162.1m.
- **Net (taxable) sports revenue $12.2m, +48.7% YoY**, but only because hold recovered from a near-record-low 2.90% in Sep-25 to 4.58%; 2026 football-adjacent months have held 3.90%, 7.32%, 4.05% and 4.58% — three of four under 5% versus the 8–10% normal in mature US states. Kansas 'revenue' is net of winnings, promotional/free-play deductions, the 0.25% federal excise and carry-over, so it is a NGR-type base, not GGR.
- **State take is structurally tiny.** The 10% state share on net revenue produced $1.22m in September (0.46% of handle). FY2025 (Jul-24–Jun-25): ~$2.7bn handle, $172.8m sports-wagering revenue, ~$17m retained by the state (0.6% of handle); year one (Sep-22–Aug-23) delivered just $7m on $1.85bn of bets. Legislators flagged this in Sept 2025 hearings as the core grievance.
- **Online is >97% of sports handle.** Sep-25 split: online $277.6m / retail $6.1m (97.8%/2.2%); Jul-26: online $165.6m / retail $1.7m (99.0%/1.0%), with retail revenue just $0.2m. Retail handle fell 38.6% YoY in Mar-26. The Sep-26 channel split was not in the sources we could open — n/a.
- **A DraftKings-led duopoly with a real third tier.** DraftKings held 44.7% of online handle in Jul-26 ($74.0m; $4.6m net rev) vs FanDuel 28.9% ($47.8m; $4.1m) and bet365 9.1% ($15.1m); no other brand exceeded $1.1m revenue. In Mar-26 DK/FD were 36.0%/29.5% with 'others' 34.5% — more fragmented than most small states. Seven brands live: DraftKings (Boot Hill), FanDuel & bet365 (Kansas Star), theScore Bet (Hollywood; replaced ESPN BET), BetMGM, Caesars, Fanatics (Kansas Crossing).
- **Land-based GGR $34.4m in September, +3.8% YoY** (KRGC via CDC Gaming): slots $30.5m (+3.1%, 89% of GGR), tables $3.9m (+10%). Hollywood Casino at Kansas Speedway $14.5m (+4.9%), Kansas Star $13.0m (flat), Boot Hill $3.7m (+11.2%), Kansas Crossing $3.2m (+4.5%). 9M-2026 total ~$325m; CY2025 casino GGR implied ~$427m from the 3% local share of $12.8m (AGA).
- **Casino tax is high and tiered: 27% or 29% of GGR** (22%/24% state + 3% host local governments + 2% Problem Gambling and Addictions Grant Fund), fixed in 15-year management contracts. Implied September take at 27% ≈ $9.3m (estimate). AGA puts total 2025 Kansas gaming tax revenue at $135.3m across casinos and sports.
- **HHR is the new land-based growth engine.** Phil Ruffin's Gilley's Gambling Hall (Park City/Wichita; ~1,000 HHR machines, authorised by SB 84 for a single Sedgwick County facility) opened 15 Dec 2025 and recorded $29.4m of HHR handle and 59,396 patrons in Jan-26, $26.3m in Apr-26, $28.2m in May-26 and $184.2m fiscal-YTD by May. The state share is 3% of amount wagered ($0.88m in Jan-26). KRGC reports these as unaudited parimutuel figures outside the casino total; Sep-26 figure n/a.
- **Lottery sales $46.5m in September, +6% YoY, led by iLottery** (eInstants/eDraw via the PlayOn app and playonkansas.com); July 2026 sales were +51% YoY on the same driver (Gaming Intelligence headlines; product mix behind the paywall). Lottery play is 18+, sports wagering 21+.
- **Licensing is contract-based, not open.** SB 84 lets each of the four lottery gaming facility managers run retail sportsbooks plus up to three interactive platforms (max 12 skins statewide; 7 used), up to 50 retail partner locations each (incl. Kansas Speedway), and an extra skin via a pro team (Sporting KC). The Lottery owns the product; managers and platforms keep 90% of net revenue; the state 10%, of which 80% is earmarked for the Attracting Professional Sports to Kansas Fund.
- **The 2025 moratorium has lapsed — and the first renewal is done.** SB 125 (2025 budget, veto by Gov. Kelly overridden) barred the Lottery from negotiating or extending any sports-wagering management contract through FY2026 (to 30 Jun 2026). In Aug 2026 the Lottery granted Boot Hill (Butler National) a three-year extension to 2030 and DraftKings extended its Boot Hill deal 10 years on 'updated commercial terms'. The other three casinos' 5-year contracts still expire 31 Aug 2027.
- **Political direction: more take, not more product.** Sept 2025 legislative hearings explored raising the 10% rate, differentiating online/retail rates, curbing promo deductions and even a single-source model; operators

and casinos opposed. The 2026 session produced no iGaming bill and no sports-wagering tax change that we could verify — the 2027 session (Jan–May 2027) is the decisive window before the Aug-2027 expiries.

- **Tribal expansion is the other competitive front.** Three of four tribes (Prairie Band Potawatomi, Iowa Tribe, Sac & Fox) have compact amendments for on-reservation sports wagering; Gov. Kelly and the Wyandotte Nation signed a new Class III compact on 31 Mar 2026 covering the 7th Street Casino (KCK) and Crosswinds Casino (Park City), now in federal review, with Crosswinds slated to grow from ~800 to ~1,400 slots plus a 238-room hotel by summer 2027 — directly against Kansas Star and Gilley's in the Wichita catchment.
- **Missouri is eroding the Kansas City arbitrage.** Kansas' per-capita handle was inflated by Missouri residents crossing into Kansas; Missouri's own online launch (1 Dec 2025) coincides with Kansas' run of YoY handle declines (-4.3% Jun-26, -5.9% Sep-26). Untaxed prediction markets are a second leakage channel operators have openly cited.
- **Payments and RG are standard US-online, lightly specified in statute.** Deposits run through the usual debit/ACH/e-wallet/prepaid stack; we could not verify a statutory credit-card prohibition [unverified]. The 2% casino levy funds problem-gambling treatment (~$8.5m in 2025), KRGC administers voluntary self-exclusion, and SB 84 delegated sports-advertising rules to the Lottery rather than codifying content limits.
- **Read-through for B2Tech:** Kansas is not an entry market for a new B2C sportsbook — skins are controlled by four casino managers, five are unused, promo intensity is extreme and the base is shrinking. The accessible angles are B2B (platform/HHR/iLottery content and trading services to incumbents), a skin deal with a casino whose contract is being re-papered before Aug-2027, or positioning for any 2027 re-tender if legislators force a model change.
- **Data quality:** September 2026 headline figures are corroborated across at least two outlets relaying the Kansas Lottery/KRGC reports, but the underlying PDFs could not be opened in this cycle; operator-level and channel splits for September, Gilley's September handle and lottery product mix are n/a.

2 MARKET SUMMARY

KANSAS — US $M (SEP 2026 UNLESS STATED)	SEP 2026	MOM	YOY	REFERENCE PERIOD	BASIS / SOURCE
SPORTS WAGERING (KANSAS LOTTERY)					
Handle (settled wagers, online + retail)	267.0	+64.7%	-5.9%	FY2025 ~$2.7bn; CY2025 ~$3.0bn	Turnover; Sep-25 $283.7m
Net revenue (taxable)	12.2	~+85%	+48.7%	FY2025 $172.8m	After winnings, promo deductions, 0.25% fed excise, carryover
Hold (net revenue / handle)	4.58%	+0.5pt	+1.68pt	2026 months: 3.90% / 7.32% / 4.05% / 4.58%	Sep-25 2.90%
State share (10% of net revenue)	1.22	~+85%	+48.7%	FY2025 ~$17m (0.6% of handle)	80% to Attracting Pro Sports Fund
Online share of handle	n/a	—	—	Jul-26 99.0%; Sep-25 97.8%	Retail $1.7m Jul-26; $6.1m Sep-25
Leading brands (share of online handle)	n/a	—	—	Jul-26: DK 44.7%, FD 28.9%, bet365 9.1%	Mar-26: DK 36.0%, FD 29.5%
LAND-BASED CASINOS (KRGC, 4 STATE-OWNED)					
Total GGR	34.4	-6.3%	+3.8%	9M-26 ~$325m; CY2025 ~$427m (implied)	GGR; Aug-26 $36.7m
Electronic gaming machines	30.5	n/a	+3.1%	89% of GGR	GGR
Table games	3.9	n/a	+10.0%	11% of GGR	GGR
Hollywood / Kansas Star / Boot Hill / Kansas Crossing	14.5 / 13.0 / 3.7 / 3.2	n/a	+4.9% / 0% / +11.2% / +4.5%	Shares 42% / 38% / 11% / 9%	GGR by property
Implied gaming tax at 27% (22% state, 3% local, 2% PG)	~9.3 (est.)	n/a	n/a	CY2025 total gaming tax $135.3m (AGA, casinos + sports)	Estimate; contracts tier to 29%
HISTORICAL HORSE RACING (GILLEY'S, PARK CITY)					
HHR handle (unaudited, ~1,000 machines)	n/a	—	n/a (opened 15 Dec 2025)	Jan-26 $29.4m; Apr-26 $26.3m; May-26 $28.2m; FYTD-May $184.2m	Amount wagered, KRGC agenda packets
State share HHR (3% of handle)	n/a	—	—	Jan-26 $0.88m; FYTD-Jan $2.08m	KRGC
LOTTERY (KANSAS LOTTERY)					
Total lottery sales	46.5	n/a	+6%	Jul-26 +51% YoY	Sales (not GGR); led by iLottery
LICENSING & RATES					
Licensed online sportsbook skins / statutory cap	7 / 12	flat	+1 (bet365, theScore in; ESPN BET out)	4 casino managers × 3 platforms	SB 84
State-owned casinos / HHR halls / tribal casinos	4 / 1 / 4 tribes	flat	+1 HHR	Wyandotte compact (Mar-26) pending federal review	KELA; compacts
Tax base & rate	**Casino 27–29% of GGR; sports 10% of net rev; HHR 3% of handle; fed excise 0.25% of handle**	**—**	**unchanged**	**Moratorium on contract renewals lapsed 30 Jun 2026**	**KELA / SB 84 / SB 125**

3 DEEP-DIVE — SPORTS BETTING (ONLINE & RETAIL)

> **Shrinking handle, promo-depressed hold and a 10% rate on an NGR-type base make Kansas the lowest-yield sportsbook state per dollar wagered — yet the Boot Hill/DraftKings extension shows incumbents still value the footprint.**

SEPTEMBER HANDLE AND HOLD

September 2026 settled wagers fell 5.9% to $267,020,698, the third consecutive year-on-year decline, with hold of 4.58% still far below mature markets.

- Handle down from $283,742,310 in September 2025; the ~65% month-on-month jump from August's $162.1m is purely the NFL and college-football calendar.
- Taxable revenue was $12,216,725, up 48.7% from $8,215,618, but September 2025's 2.90% hold was among the thinnest ever recorded in a football month.
- Mature markets like New York or Illinois run 8–10%; of the four most recent months only July (7.32%) cleared 5%; June 3.90%, August 4.05%.
- Revenue is net of winnings, promotional and free-play deductions, the 0.25% federal excise and negative carry-over, so closer to NGR than GGR.
- The state's 10% share — $1,221,673 in September — equates to 0.46% of handle.

CHANNEL MIX

The market is almost entirely digital; retail sportsbooks are regulatory anchors for skins, and an operator's Kansas P&L is an online P&L.

- September 2025 online handle $277.6m versus $6.1m retail (97.8%/2.2%); July 2026 split $165.6m versus $1.7m (99.0%/1.0%).
- Retail produced only $196,639 of July's $12.24m net revenue.
- Retail handle collapsed 38.6% YoY in March 2026 to $4.13m: Hollywood Casino (theScore Bet) $1.59m, Kansas Star (FanDuel) $1.36m.
- September 2026 channel split not available in the material opened; shown as n/a.

MARKET STRUCTURE

A DraftKings-led duopoly with a thick tail; DraftKings has bought share with promotions that are deductible from the tax base.

- July 2026: DraftKings $73.96m online handle (44.7%) and $4.60m net revenue; FanDuel $47.79m (28.9%) and $4.07m; bet365 $15.1m; no other brand exceeded $1.1m revenue.
- March 2026 leaders held 36.0% and 29.5% with 'others' at 34.5%; September 2025 DraftKings' $118.4m handle (42.7%) generated only $1.9m revenue versus FanDuel's $4.2m on $89m.
- Seven live brands: DraftKings (Boot Hill), FanDuel and bet365 (Kansas Star), theScore Bet (Hollywood, replacing ESPN BET), BetMGM, Caesars and Fanatics (Kansas Crossing).
- Five of twelve statutory skins are unused, each gated by a casino manager's commercial decision and Lottery approval.

FISCAL-YEAR ECONOMICS

FY2025 sports-wagering revenue was $172.8m on roughly $2.7bn of handle, with the state keeping about $17m — 0.6% of handle.

- Managers and platforms retained about $157.3m (the 90%).
- Lottery budget lines for the managers' 90% of $108.0m (FY2026) and $139.5m (FY2027) imply total net revenue of roughly $120m and $155m; the state expected FY2026 to be down.
- First twelve months after the 1 September 2022 launch: $1.85bn staked for a state return of $7m.
- RG.org's framing is harsh but numerically fair.

> *"a promotional arms race was supposed to buy growth; Kansas is paying for one and shrinking anyway"* — **RG.org**

COMPETITIVE LEAKAGE

Missouri's 1 December 2025 online launch and untaxed prediction markets explain the handle trend better than demand fatigue.

- Kansas per-capita handle was inflated by Missouri residents in the Kansas City metro; declines since Missouri launch: June -4.3%, September -5.9%.
- Operators cite federally regulated sports prediction markets as a pivot alternative — leverage DraftKings had in hand during its Boot Hill extension.
- Kansas handle of roughly $2.3–2.6bn a year at 5–7% blended hold is a $130–170m net-revenue pool shared seven ways, top two taking ~70%.

PRODUCT AND CONTRACTS

The Boot Hill–DraftKings 10-year amendment is the template; the three remaining managers must re-paper Lottery contracts before 31 August 2027.

- All major US sports plus college (including in-state teams), motor racing and KRGC-approved special events permitted at 21+, with up to 50 retail kiosk partners per casino.
- A reserved pro-team skin for Sporting Kansas City has not been activated in any report seen.
- The Lottery, not KRGC, writes advertising rules under SB 84.
- Any change in revenue share, skin fees or promo-deduction treatment will surface first in the re-papered contracts.

> *"on updated commercial terms"* — **Boot Hill–DraftKings amendment**

KANSAS SPORTS WAGERING — US $M	SEP 2026	MOM	YOY	SEP 2025	JUL 2026
Handle (total)	267.0	+64.7%	-5.9%	283.7	167.3
Online handle	n/a	—	—	277.6	165.6
Retail handle	n/a	—	—	6.1	1.7
Net (taxable) revenue	12.2	~+85%	+48.7%	8.2	12.2
Online net revenue	n/a	—	—	7.6	12.0
Retail net revenue	n/a	—	—	0.6	0.2
Hold %	4.58%	+0.5pt	+1.68pt	2.90%	7.32%
State share (10%)	1.22	~+85%	+48.7%	0.82	1.22
State share as % of handle	0.46%	—	+0.17pt	0.29%	0.73%
DraftKings online handle / net rev	n/a	—	—	118.4 / 1.9	74.0 / 4.6
FanDuel online handle / net rev	n/a	—	—	89.0 / 4.2	47.8 / 4.1
bet365 online handle	n/a	—	—	not live	15.1
Live online brands	**7**	**flat**	**+1 net**	**6**	**7**

4 DEEP-DIVE — LAND-BASED CASINOS & HISTORICAL HORSE RACING

Four state-owned casinos grind out low-single-digit growth at a 27–29% tax; the step-change is Gilley's 1,000-machine HHR hall and the coming tribal build-out around Wichita.

SEPTEMBER CASINO GGR

The four lottery gaming facilities posted combined GGR of $34.4m in September 2026, up 3.8% year on year but down 6.3% from August's $36.7m.

- Electronic gaming machines contributed $30.5m (+3.1%) and table games $3.9m (+10%).
- Hollywood Casino at Kansas Speedway (Penn) led with $14.5m (+4.9%; slots $13.1m, tables $1.4m).
- Kansas Star (Boyd) flat at $13.0m, slots down 2.1% to $11.1m, tables up 20.4% to $1.9m; Boot Hill +11.2% to $3.7m; Kansas Crossing +4.5% to $3.2m.
- Nine-month 2026 total close to $325m, consistent with ~$430m calendar year; CY2025 GGR about $427m implies 2026 tracking roughly flat to +1%.

TAX AND ENTRY

Managers remit 27% or 29% of GGR under KELA and 15-year contracts, and no greenfield casino licence is available in Kansas.

- Split: 22% or 24% to the Expanded Lottery Act Revenues Fund, 3% to host city and county, 2% to the Problem Gambling and Addictions Grant Fund (about $8.5m in 2025).
- September's $34.4m implies roughly $9.3m of gaming tax at the lower tier (analyst estimate).
- Entry only by acquiring a manager (as Boyd did with Kansas Star) or via the tribal route.
- AGA counts $722.1m of 2025 commercial gaming revenue including sports betting and $135.3m of gaming tax; not independently re-verified.

GILLEY'S HHR

Gilley's Gambling Hall, opened 15 December 2025 with up to 1,000 HHR machines, is the material change and draws from Kansas Star's Wichita catchment.

- HHR handle $29.45m and 59,396 patrons in January 2026, $26.29m in April, $28.15m in May, $184.2m fiscal-year-to-date by May.
- State share is 3% of amount wagered ($0.88m in January, $2.08m FYTD by January).
- KRGC reports these as 'unaudited parimutuel facility revenue' and excludes them from casino totals; CDC Gaming's 'statewide revenue up 105%' is not like-for-like.
- Kansas Star slot revenue has softened (April GGR -4.5%, September slots -2.1%); September 2026 Gilley's figure n/a.

TRIBAL SUPPLY

The Wyandotte Nation compact signed 31 March 2026 puts a second large competitor into the Wichita market within 18 months of Gilley's opening.

- Prairie Band Potawatomi, Kickapoo, Sac & Fox and Iowa Tribe casinos operate without public revenue reporting; three tribes have amended compacts for on-reservation sports wagering.
- New Class III compact covers 7th Street Casino and Crosswinds Casino; cleared by the House 99–20, now in federal review.
- Crosswinds adds a 238-room hotel and lifts the floor from ~800 to ~1,400 machines, completion targeted summer 2027.
- KRGC is re-licensing live racing at Eureka Downs (applications from 5 October 2026), a modest parimutuel/simulcast adjacency.

COMMERCIAL IMPLICATIONS

Value lies in supply rather than operation, and Wichita is about to be over-supplied relative to its population.

- Margins compressed by the 27–29% levy and the Lottery's ownership model.
- Supply opportunities: EGM content, HHR systems (Konami and Ainsworth HHR products approved by KRGC in 2025), systems and sportsbook kiosks.
- Boyd's Kansas Star is investing in a hotel and leaning on its FanDuel/bet365 skins to defend share.

KANSAS LAND-BASED — US $M	SEP 2026	MOM	YOY	AUG 2026	CY2025 / REF
Total casino GGR (4 properties)	34.4	-6.3%	+3.8%	36.7	~427 implied; 9M-26 ~325
Electronic gaming machines	30.5	n/a	+3.1%	n/a	Jan-26 29.5 (+10.2%)
Table games	3.9	n/a	+10.0%	n/a	—
Hollywood Casino at Kansas Speedway (Penn)	14.5	n/a	+4.9%	n/a	Aug-25 15.1
Kansas Star (Boyd)	13.0	n/a	0.0%	n/a	Aug-25 14.6
Boot Hill (Butler National)	3.7	n/a	+11.2%	n/a	—
Kansas Crossing	3.2	n/a	+4.5%	n/a	—
Implied gaming tax @27% (est.)	~9.3	n/a	n/a	~9.9	Local 3% share 2025: 12.8; PG 2%: 8.5
Gilley's HHR handle (unaudited)	n/a	—	opened Dec-25	n/a	Jan-26 29.4; Apr-26 26.3; May-26 28.2; FYTD-May 184.2
Gilley's state share (3% of handle)	n/a	—	—	n/a	Jan-26 0.88
Gilley's patron count	n/a	—	—	n/a	Jan-26 59,396; Apr-26 43,156
Licensed venues (casino / HHR / tribal)	**4 / 1 / 4 tribes**	**flat**	**+1 HHR**	**4 / 1 / 4**	**Wyandotte compact pending; Crosswinds expansion summer 2027**

5 DEEP-DIVE — LOTTERY & ILOTTERY

iLottery is now the growth driver of a ~$45–50m-a-month lottery, and the Lottery's dual role as operator and owner of all expanded gaming gives it unusual leverage over the whole market.

LOTTERY SALES

Kansas Lottery sales reached $46.5m in September 2026, up 6% year on year and led by iLottery, after a 51% jump in July 2026.

- Detailed product mix (instants, Powerball/Mega Millions, Keno, eInstants) behind paywall; Lottery PDFs could not be opened, so product-level figures are n/a.
- Lottery sales are turnover, not GGR, and not additive to casino GGR or sports net revenue.
- PlayOn loyalty platform and playonkansas.com/app carry eInstant and eDraw games alongside retail scratch, pull-tab, Fast Play and draw games.
- Minimum age is 18 versus 21 for sports wagering.

DUAL INSTITUTIONAL ROLE

The Lottery runs 'Traditional Lottery' and 'Expanded Lottery' businesses, and its own forecasts anticipated a 30% fall in FY2026 sports net revenue.

- FY2026 budget shows casino gaming revenues of $401.4m against $309.5m of related expenditures.
- Sports-wagering payouts to managers: $102.6m (FY2024), $157.3m (FY2025), $108.0m (FY2026 est.), $139.5m (FY2027 est.), then a partial rebound.

WHY ILOTTERY MATTERS

State-run eInstants are the only legal digital casino-style product in Kansas, and the Lottery is a more credible counterparty for a single-source sportsbook model.

- No online casino bill was introduced in the 2026 session; the eInstant channel will be defended as a Lottery franchise.
- Legislators floated a Lottery-run sportsbook in 2025 as an alternative to renewing private skins — the DC/Oregon-style model the Sports Betting Alliance warned about.
- Suppliers of iLottery content and platform services are the natural beneficiaries.

KANSAS LOTTERY — US $M	SEP 2026	MOM	YOY	JUL 2026	REFERENCE
Total lottery sales	46.5	n/a	+6%	n/a (+51% YoY)	Sales, not GGR
iLottery (eInstant/eDraw) sales	n/a (lead driver)	—	—	n/a (lead driver)	PlayOn / playonkansas.com
Traditional retail sales (instants, draw, Keno)	n/a	—	—	n/a	Monthly PDFs not accessible this cycle
Casino gaming revenues through Lottery accounts	—	—	—	—	FY2026 budget: 401.4 (expenditures 309.5)
Sports wagering paid to managers (90%)	—	—	—	—	FY24 102.6; FY25 157.3; FY26e 108.0; FY27e 139.5
Minimum age	**18 (lottery) / 21 (sports)**	**—**	**—**	**—**	**Statute**

6 DEEP-DIVE — LICENSING, CONTRACTS & TAX

A closed, contract-based regime: four casino managers control all commercial gaming and skins, tax is fixed by contract and statute, and the Aug-2027 contract cliff is the only open door — which the Lottery has started closing on incumbents' terms.

LEGAL FRAMEWORK

KELA (2007) makes the Lottery legal owner of casino gaming in four exclusive zones run by private managers under 15-year contracts; SB 84 bolted on sports wagering.

- Zones: Northeast (Hollywood), South Central (Kansas Star), Southwest (Boot Hill), Southeast (Kansas Crossing); one-off privilege fee, 22–24% state share plus 3% local and 2% problem-gambling levies.
- Each manager may run an in-person book, up to 50 retail partner locations and up to three interactive platforms; a fourth skin reserved for Sporting KC.
- Managers and platforms retain 90% of net revenue; state keeps 10%, 80% of which goes to the Attracting Professional Sports to Kansas Fund; carve-outs not re-verified.
- KRGC licenses and audits; the Lottery writes advertising and contract rules.

MARKET ACCESS

There is no licence an outside operator can apply for; access is by acquiring a manager, a skin agreement or a tribal partnership.

- Platform-level fees are set in private marketing agreements, not statute; KRGC fee schedule covers licence costs but not market access (not opened — n/a).
- Operators pay the 0.25% federal excise on handle, deductible from the Kansas base, and the 10% state share on net revenue.

CONTRACT CLIFF

All original sports-wagering contracts expire 31 August 2027, and the Lottery has started re-papering on incumbents' terms.

- SB 125 proviso, vetoed by Governor Kelly and overridden on 11 April 2025, barred renewal spending until 30 June 2026.
- September 2025 hearings: with the state netting about $17m on $2.7bn handle, members wanted a higher rate, differentiated online/retail rates, promo-deduction limits and a single-source option.
- August 2026: Boot Hill's manager BHCMC (Butler National) got a three-year extension to 2030; DraftKings and Boot Hill amended for ten years.
- No evidence the 2026 session changed the 10% rate, promo-deduction rule or skin cap, or renewed the proviso.

> *"the same material terms"* — **Lottery extension to BHCMC**

DIRECTION OF TRAVEL

A rate increase to 15–20% or disallowance of promo deductions are the most probable legislative outcomes; single-source conversion is a tail risk.

- The Lottery and managers will try to re-paper Kansas Star, Hollywood and Kansas Crossing before the 2027 session gains traction.
- Legislators would be left with a tax-rate amendment or a renewed spending proviso.
- Market access is genuinely negotiable only between now and August 2027, and the counterparty is a casino manager, not the state.

KANSAS LICENSING & TAX REGIME	CURRENT RULE	BASE	RATE / TERM	CHANGE / STATUS	SOURCE
State-owned casino gaming (4 zones)	Manager contracts under KELA	GGR	27% or 29% total (22/24% state, 3% local, 2% PG); 15-yr contracts	Unchanged; no new zones	KELA 2007; AGA
Sports wagering — state share	Lottery owns, managers operate	Net revenue (after prizes, promos, 0.25% fed excise, carryover)	10%; 80% of state share to Attracting Pro Sports Fund	Hearings Sept-25 on raising; no 2026 change found	SB 84; KLRD
Sports wagering — skins	Up to 3 platforms per manager + pro-team skin	—	Marketing agreements, Lottery-approved; 7 of 12 used	bet365 & theScore Bet added; ESPN BET exited	SB 84; Kansas Lottery
Sports wagering — retail	Casino book + up to 50 partner locations each	—	Kiosks incl. Kansas Speedway	<2% of handle	SB 84
Management contract terms	5-yr sports-wagering contracts from 2022	—	Expire 31 Aug 2027 (3 of 4); Boot Hill extended to 2030	SB 125 proviso FY25–26 lapsed 30 Jun 2026	SB 125; Butler National
Historical horse racing	1 facility, Sedgwick County, ≤1,000 machines	Amount wagered	3% state share	Gilley's open since 15 Dec 2025	SB 84; KRGC
Tribal gaming	4 tribes under compacts; sports wagering amendments for 3	Compact terms (not public)	n/a	Wyandotte Class III compact signed 31 Mar 2026, federal review	KLRD; Governor's office
Online casino (iGaming)	**Not authorised**	**—**	**—**	**No bill introduced in 2026 session**	**Legislature**
Federal excise	All sportsbooks	Handle	0.25%	Deductible from Kansas base	IRC §4401

7 DEEP-DIVE — COMPETITION, PAYMENTS, RESPONSIBLE GAMBLING & POLITICAL DIRECTION

Missouri, prediction markets and tribal expansion are compressing the Kansas opportunity from outside while legislators try to compress operator margins from inside; RG and payments rules are standard-US and not the binding constraint.

MISSOURI AND PREDICTION MARKETS

Missouri's 1 December 2025 online launch is the single largest exogenous shock, with prediction markets the second leakage channel.

- A disproportionate share of Kansas' $2.7–3.0bn annual handle came from Missourians crossing into Wyandotte and Johnson counties.
- Year-on-year handle declines in every observed month since (June -4.3%, September -5.9%).
- Federally regulated sports event contracts carry no state tax or gaming-law obligations.
- Neither is within the legislature's control, hence its instinct to extract more from what remains.

> *"walk away and launch sports markets"* — **DraftKings (as noted in Boot Hill renegotiation)**

LAND-BASED COMPETITION

New supply around Wichita and Kansas City is more likely to redistribute than grow the ~$430m of flat casino GGR.

- Gilley's HHR since December 2025; Crosswinds tribal expansion to ~1,400 slots by summer 2027; Wyandotte 7th Street Casino moving to Class III.
- Hollywood at Kansas Speedway also faces Missouri's riverboat casinos across the state line.
- Combined GGR has been essentially flat since 2023.

PAYMENTS

Kansas follows the standard US online payment stack with no friction differentiating it from neighbouring states.

- Debit cards, ACH/online banking, PayPal and similar e-wallets, Play+ prepaid cards and cash-at-retail; lottery retail dominated by cash, PlayOn app for digital.
- Whether credit-card funding of sportsbook accounts is barred could not be verified from a primary source; Kansas is not among states with a well-publicised ban.
- No mobile-money dimension.

RESPONSIBLE GAMBLING

RG architecture is funded rather than prescriptive and is not the binding constraint.

- 2% casino GGR levy (about $8.5m in 2025) and a slice of the sports state share feed the Problem Gambling and Addictions Grant Fund.
- Kansas Coalition on Problem Gambling runs the 800-522-4700 helpline; KRGC administers voluntary exclusion; ages 21 for sports, 18 for lottery and HHR.
- No known Kansas-specific whistle-to-whistle, college-campus or bonus-advertising bans beyond national AGA code commitments (regulatory text not re-read).
- College betting, including in-state teams, is permitted.

POLITICAL DIRECTION

The market is in a trust deficit with its legislature, pointing to a transactional 2027 session; skin reallocation, not a tax tweak, would create entry optionality.

- Supermajority override on SB 125, hearings on taxing 'less than 1%' of $2.7bn, and 80% of the sports take ring-fenced for luring the Chiefs.
- Operators' best defence: long-dated Lottery-approved extensions plus the argument that Missouri competition, not the tax rate, is shrinking the base.
- For B2Tech, watch whether any 2027 bill untethers platforms from casinos or adds a Lottery-run skin.

KANSAS — COMPETITIVE & CONDUCT ENVIRONMENT	METRIC / RULE	LATEST	TREND	COMPARATOR	SOURCE
Sports handle YoY	-5.9% (Sep-26)	3rd straight YoY decline	Missouri online live since 1 Dec 2025	Kansas Lottery via RG.org	
Effective state take on handle	0.46% (Sep-26); 0.6% FY2025	Rising with hold, still lowest-tier	Peer states 1–5% of handle	Kansas Lottery; Kansas Reflector	
Promo deductions	Permitted, uncapped	Under legislative scrutiny	Many states cap/phase out	SB 84; Sept-25 hearings	
Minimum age	21 sports / 18 lottery & HHR	Stable	—	SB 84; Kansas Lottery	
Problem-gambling funding	2% of casino GGR (~$8.5m 2025) + share of sports take	Stable	—	KELA; AGA	
Self-exclusion	KRGC voluntary exclusion programme	Stable	—	KRGC	
Advertising rules	Delegated to Lottery regulation; no statutory content bans found	Watch 2027 session	—	SB 84; KLRD	
Payments	Debit/ACH/e-wallet/prepaid; credit-card rule [unverified]	—	—	n/a	
Tribal sports wagering	3 of 4 compacts amended	Wyandotte compact pending	—	KLRD	
iGaming	**Not legal; no 2026 bill**	**Low probability 2027**	**7 US states >$1bn/month**	**Legislature**	

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Contract re-papering window is open now: with the SB 125 moratorium lapsed on 30 Jun 2026 and Boot Hill/DraftKings already extended to 2030, Kansas Star, Hollywood and Kansas Crossing must re-sign before 31 Aug 2027 — the only moment skin economics and five unused skins (of 12) are genuinely negotiable. one-off
- Hold normalisation is pure upside to net revenue: September's 4.58% is still roughly half the mature-market norm; every 1pt of hold on ~$2.5bn annual handle is ~$25m of net revenue, 90% retained by operators under the 10% regime. structural
- Lowest-tier tax burden for operators: 10% on an NGR-type base with uncapped promo deductions and deductible federal excise leaves 90% of net revenue with managers/platforms — the most operator-friendly fiscal terms in the Midwest while they last. structural
- iLottery and HHR show digital/machine-based products are growing where sports is not: lottery sales +6% (Sep-26) and +51% (Jul-26) on eInstants; Gilley's ~$26–29m of monthly HHR handle in year one — real B2B demand for content, HHR systems and platform services. early
- Supply-side M&A optionality in land-based: entry to Kansas casino gaming is only via acquiring a facility manager (Boyd's Kansas Star precedent) or a tribal partnership — the Wyandotte Class III compact and Crosswinds expansion create a new partner set in 2027. structural
- Fragmented tail: 'other' brands took 34.5% of online handle in Mar-26 and bet365 reached 9% within months of launch, showing a Kansas skin can still win share from the duopoly with product and pricing rather than promo spend. mixed

▼ LOWLIGHTS

- Base erosion from Missouri: Kansas handle has declined YoY in every month observed since Missouri's 1 Dec 2025 launch (-4.3% Jun-26, -5.9% Sep-26) and the KC-metro cross-border premium that made Kansas punch above its 2.9m population is gone for good. structural
- Legislative appetite for a bigger take: Sept-25 hearings targeted the 10% rate, promo deductions and even a single-source model; a supermajority that overrode the governor once can raise the rate or renew the proviso in the 2027 session before the Aug-2027 expiries. governance
- Promo-driven hold volatility: three of the last four months held under 5% (3.90%, 7.32%, 4.05%, 4.58%) and DraftKings earned $1.9m on $118m of handle in Sep-25 — a market where share is bought with deductible free bets is hostile to a late entrant's unit economics. structural
- Closed access and casino gatekeepers: no licence exists to apply for; skins are allocated by four casino managers under Lottery approval, retail is <2% of handle and economically irrelevant, and there is no iGaming pathway (no bill in 2026). structural
- Wichita over-supply: Gilley's 1,000 HHR machines (since Dec-25) plus Crosswinds' expansion to ~1,400 slots and a 238-room hotel (summer 2027) will redistribute a flat ~$430m land-based GGR pool; Kansas Star is already flat with slots -2.1%. watch
- Earmarking distorts politics: 80% of the state's sports take funds the Attracting Professional Sports to Kansas Fund, so the general fund sees almost nothing — weakening the fiscal constituency for the current model and strengthening the case for change. governance
- Transparency gaps: the Lottery's detailed monthly PDFs and KRGC packets could not be opened this cycle; Sep-26 channel/operator splits, Gilley's September handle and lottery product mix are unverified or n/a. one-off

9 FORECAST & OUTLOOK

Guidance bridge. The regulatory bridge from the 2025 status quo to 2027 runs through three dates: 30 Jun 2026 (SB 125 renewal moratorium expired — done), Jan–May 2027 (legislative session; last chance to change the 10% rate, promo deductions or the skin model before contracts roll), and 31 Aug 2027 (expiry of the original five-year sports-wagering management contracts for Kansas Star, Hollywood and Kansas Crossing; Boot Hill already extended to 2030). Commercially, the Kansas Lottery's own budget implies FY2026 sports net revenue fell ~30% to ~$120m before recovering toward ~$155m in FY2027, driven by hold rather than handle.

SPORTS HANDLE, SEP-25 → SEP-26	HOLD, SEP-25 → SEP-26	NET REVENUE / STATE SHARE	SPORTS CONTRACTS
$283.7m → $267.0m	**2.90% → 4.58%**	**$8.2m → $12.2m / $0.82m → $1.22m**	**6 brands to Aug-2027 → 7 brands; Boot Hill to 2030**
-5.9% (Missouri leakage; 3rd straight YoY decline)	+1.68pt (promo intensity eased from record low)	+48.7% (10% rate unchanged)	Moratorium lapsed; 3 casino contracts still to re-paper

Independent view. Our independent view: Kansas sports handle falls a further **5–10% in FY2027 to roughly $2.3–2.5bn (estimate)** as Missouri's market matures, while blended hold drifts up to **5.5–6.5%** as promo spend rationalises, leaving net revenue of **~$130–150m (estimate)** — in line with the Lottery's $139.5m manager-retention budget — and a state share of ~$13–15m unless the rate changes. We assign a **~55–60% probability that the 2027 session raises the sports-wagering rate (most likely to 15–20%) and/or caps promo deductions**, a ~25% probability of no change, and a ~15% tail of a renewed proviso or single-source conversion; the Lottery's pre-emptive extensions make the tail less likely each month. Land-based GGR stays **flat to +1% (~$430–435m CY2026 estimate)** with Gilley's adding **~$300–340m of annual HHR handle (estimate)** outside that total and the Wichita market turning share-redistributive in 2027. iLottery keeps lottery sales growing mid-single digits; **commercial iGaming is not on the table before 2028**. Market leverage is low (state-owned assets, no debt-funded licence fees), so the swing factors are purely regulatory and competitive.

What to watch next quarter:

- 2027 Kansas legislative session (Jan–May 2027): any bill amending K.S.A. 74-8700 et seq. on the 10% rate, promo deductions, online/retail differentiation, skin allocation or a Lottery-run book; and whether the FY2028 appropriations bill revives the SB 125 proviso.
- Kansas Lottery contract actions: extensions for Kansas Star (Boyd/FanDuel/bet365), Hollywood (Penn/theScore Bet) and Kansas Crossing (BetMGM/Caesars/Fanatics) ahead of 31 Aug 2027, and whether any of the five unused skins or the Sporting KC skin is activated.
- Monthly Kansas Lottery sports reports: online/retail split, hold trajectory (sustaining >5% in Q4-26 NFL months) and the DraftKings-vs-FanDuel revenue gap as a proxy for promo intensity; cumulative YoY handle vs Missouri's reported KC-metro handle.
- KRGC: Gilley's monthly HHR handle and patron counts, Kansas Star slot trend, Eureka Downs racing licence, and federal (DOI) approval timing for the Wyandotte compact and the Crosswinds expansion (target summer 2027).
- Prediction-market encroachment: CFTC/court rulings on sports event contracts and any Kansas AG or KRGC action, which affects both the handle base and operators' negotiating leverage.
- Kansas Lottery iLottery monthly revenue reports and any legislative attention to eInstants as de facto online casino — the leading indicator for a future iGaming debate.

DATA CONFIDENCE: MEDIUM FX: not applicable — Kansas reports in USD. September 2026 headline figures (sports handle $267.0m, net revenue $12.2m, hold 4.58%, state share $1.22m; casino GGR $34.4m and property splits; lottery sales $46.5m, +6%) are each corroborated by at least two outlets relaying the Kansas Lottery / KRGC monthly reports, but the underlying Lottery PDFs and the KRGC October 2026 agenda packet could not be opened this cycle because of tool limits. Not verified / n/a: Sep-26 online vs retail and operator-level splits; Gilley's Sep-26 HHR handle; lottery product mix; KRGC fee schedule; Kansas credit-card deposit rule; exact SB 84 distribution carve-outs beyond the 80% pro-sports earmark; AGA's $722.1m 2025 commercial revenue figure (parsed from a snippet). FY2025 sports revenue ($172.8m) vs managers' 90% ($157.3m) do not reconcile exactly and are quoted as reported. All forward figures labelled 'estimate' are our own.

Sources: [Secondary] Gaming Intelligence — Kansas Lottery sales increase by 6% in September (20 Oct 2026) [lead article; paywalled beyond headline]; [Secondary] Gaming Intelligence — Kansas sportsbooks post 6% lower handle for September (Oct 2026); [Secondary] Gaming Intelligence — Kansas land-based gaming revenue nears $325 million in 9M 2026 (14 Oct 2026); [Primary] Kansas Lottery — Publications index (Sports Wagering Monthly Revenues, Monthly Detail Breakdown, Casino Gaming Monthly Revenues, Traditional Lottery and iLottery Monthly Revenues); [Primary] Kansas Lottery — Sports Wagering Monthly Revenues page; [Secondary] RG.org — US Sports Betting Revenue September 2026, Report 1 (Kansas table: handle, revenue, hold, tax; relays Kansas Lottery report); [Secondary] CDC Gaming — Kansas casino revenue rises 3.8% to $34.4 million in September (19 Oct 2026; relays KRGC); [Secondary] CDC Gaming — Kansas casino revenue falls 1.8% to $36.7 million in August (Sep 2026); [Primary] Kansas Racing and Gaming Commission — Agenda Packet, 13 Feb 2026 (Gilley's January 2026 HHR handle, patron count, 3% state share); [Primary] Kansas Racing and Gaming Commission — Agenda Packet, 12 Jun 2026 (Gilley's April/May 2026 HHR handle; Kansas Star April GGR); [Primary] Kansas Racing and Gaming Commission — Agenda Packet, 17 Oct 2025 (September 2025 property revenue tables; HHR supplier approvals); [Primary] Kansas Racing and Gaming Commission — homepage (regulated facilities incl. Gilley's and Eureka Downs; 16 Oct 2026 meeting); [Primary] Kansas Racing and Gaming Commission — Revenue Reports page; [Secondary] CDC Gaming — Gilley's Gambling Hall opening boosts statewide casino revenue up 105% YoY in January (Feb 2026); [Secondary] CDC Gaming — Kansas casino revenue up 21.2% YoY in February (Mar 2026; HHR excluded from casino total); [Primary] Kansas Legislative Research Department — Briefing Book 2026: Sports Wagering (SB 84 framework, tribal compact amendments, SB 125 proviso); [Primary] Kansas Division of the Budget — Kansas Lottery Budget Narrative FY2026 & FY2027; [Primary] Kansas Division of the Budget — Kansas Lottery FY2026 budget (casino gaming revenues $401.4m); [Primary] Kansas Legislature — Kansas Lottery Budget Summary, Senate Federal & State Affairs testimony, 21 Jan 2026 (FY2025 sports wagering revenue $172.8m; 90/10 split; FY2024–27 manager retention); [Secondary] American Gaming Association — State of the States 2026: Kansas (tax tiers 27%/29%, 2025 gaming tax $135.3m, local and PG shares, Crosswinds expansion); [Secondary] Kansas Reflector — Kansas legislators look for bigger payout from sportsbooks with contracts set to expire (25 Sep 2025); [Secondary] Kansas Reflector — Kansas collects $7M from $1.85B in sports bets in first year (29 Sep 2023); [Secondary] Yogonet — Boot Hill Casino extends DraftKings sports betting partnership through 2030; Lottery contract extended (21 Aug 2026); [Secondary] InterGame — Kansas casino extends sports wagering agreements (Aug 2026); [Secondary] Deadspin — DraftKings extends agreement with Boot Hill Casino (operator-to-casino skin map; July 2026 shares); [Secondary] Casino.com — DraftKings Sportsbook extends deal to remain in Kansas (prediction-market leverage); [Secondary] BetKansas — Kansas sportsbooks report $167.3 million handle in July 2026 (online/retail and operator detail from Lottery detail report); [Secondary] BetKansas — Kansas sportsbooks report $162.1 million handle in August 2026; [Secondary] BetKansas — Kansas sports wagering revenue falls 60% in June 2026 despite steady handle; [Secondary] RG.org — Kansas March 2026 sports betting revenue report (operator and retail breakdown); [Secondary] InterGame — Kansas betting revenue drops over 50% in September [2025] (online/retail split; DK/FD handle and revenue); [Secondary] iGaming Business — Kansas sports betting licence extensions now in question (SB 125 proviso text; Aug-2027 expiries); [Secondary] SBC Americas — Kansas budget measure would stall betting licences (Lottery confirms 31 Aug 2027 expiry); [Secondary] Casino Reports — Is legal Kansas sports betting really in peril? (contract term language; updated Jun 2026); [Secondary] Legal Sports Report — Kansas sports betting (SB 84 skin cap, 50 retail partners, Sporting KC skin, 10% rate); [Secondary] Casino.org — Phil Ruffin's Gilley's Gambling Hall readies opening (15 Dec 2025; 1,000 HHR machines); [Secondary] Track360 — Sports betting statistics 2026 by state (Kansas 2025 handle ~$3.0bn, GGR ~$0.30bn, 10% rate) [secondary; used for corroboration only]; [Secondary] KansasAvenue.org — June 2026 update (Wyandotte compact signed 31 Mar 2026; HR 6033 vote; Crosswinds expansion; no iGaming bill in 2026) [affiliate site; low-reliability, used for dates only].

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